

Again Mr. Gressel met me at the guard station, but this time I remembered my coat and tie. From the quiet outer hallway, I could hear the screaming and shouting, so I felt like a visitor in the waiting room of an asylum. Mr. Gressel led me in through a crowd of futures traders. Some were milling, some were pacing, and some raced around at full speed, bouncing off one another like excited molecules. We took refuge in a tiny walkway between two trading desks at the side of the room.

Mr. Gressel said it was a slow morning, though I couldn't imagine how things could be more chaotic. He took the time to explain the general surroundings: the options pit on one side and the futures pit on the other. He said the options pit was quieter because options are traded on a specialist system—one person taking all the orders—as opposed to the “open outcry” in the futures pit. Above each pit, the huge quote boards displayed the prices of hundreds of futures and options with various expiration dates. Among these I found my March 225s, and was delighted to see that my \$700 investment already had increased to \$900.

Mr. Gressel pointed out various types of traders: some who simply process orders from brokerage firms and live off the commissions; others known as scalpers, who buy and sell quickly and profit from the tiny changes in prices; day-traders, who hold their positions to the end of each afternoon; and position players, who take the farfetched view and invest for the long term—that is, a week or two. He introduced me to a number of traders, whom I only remember as REP, TAD, GOB, and HAL. By standing close to them in the walkway and yelling back and forth, I learned that some were ex-schoolteachers and some had Ph.D.'s. Most had become futures traders as a mid-life career change. They told me all it took was a \$25,000 investment stake, plus another \$700 to buy a seat on the exchange, and a few days of training in the hand signals. What an easy way to make a living, I thought to myself.

Actually, I heard several complaints about this job, which ought to be reported. The three major ones were: sore feet from standing up all day; sore throats, colds, and throat viruses from so much spitting and coughing at close range (“It's a regular disease hole in the pits”); and loss of money. The loss of money was a constant fear, and the only important topic of conversation. “When some-